

Healthcare Property Trust – Wholesale

Healthcare Property Trust – Wholesale

30/06/2025



Fund Facts as at 30/06/2025

Quarterly Distribution	Unit Price	Gross Asset Value	Gearing Ratio
0.023	\$2.257	\$1,921.06m	41.79
Portfolio Occupancy	Weighted Average Lease Expiry (WALE)	Number of Tenants	
94.91	15	201	

Performance as at 30/06/2025

	3 mths%	1 yr %	3 yrs% p.a.	5 yrs % p.a.	7 yrs % p.a.	10 yrs % p.a.	Since inception p.a.
Distribution return	0.99%	3.76%	3.72%	4.26%	4.48%	5.23%	7.36%

Growth return	-0.31%	-2.22%	-2.03%	8.32%	8.42%	10.52%	10.85%
Total Return	-1.30%	-5.98%	-5.75%	4.06%	3.94%	5.29%	3.49%

Contribution summary

The relative contribution of major variables on growth returns over the last quarter and year.

Contributor	3 mths %	1 yr %
Property revelations	-0.44	-4.08
Interest Rate Swaps (realised and unrealised marked to market movements)	-0.24	-0.79
Unrealised gains/(losses)	0	0
Other	-0.62	-1.11
Growth return	-1.3	-5.98

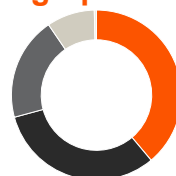
Return calculations are based on actual distribution reinvested, which may vary slightly to the performance table illustrated above. Past performance is not a reliable indicator of future performance. Property revaluations are calculated in accordance with accounting standards and includes capital expenditure, lease incentives and/or commissions (both of which are amortised), this represents the increase and or decrease from the property book value immediately prior to the valuation. 'Other' may include: retained earnings during the period, swap break costs, estimated gains distributed, realised gains and or losses on the property, distributions from prior period retained earnings, realised gains and or losses from unlisted property trusts and non material movements.

Sector Allocation



Hospital	58.5%
Aged Care	19.3%
Medical Centre or Medical Office	17.8%
Development Site	4.4%

Geographic Allocation



QLD	38.9%
VIC	31.9%
NSW	19.7%
SA	9.1%
WA	0.4%
TAS	0.0%

Financials

GAV	3408338184.55
NAV	1950882395.58
Total debt	1398500000.00
Other liabilities	58955788.97

Debt

Gearing ratio	40.82
Hedging	70.25
ICR	2.25
LVR	0.00

Valuations

Valuations during the quarter	1.00
Change in book value of the properties revalued	-2.42
Change in total direct property book value	-3.23

Top 5 tenants (by income)

Tenant	
Others (including vacancy)	39.94
Ramsay Healthcare	14.91
MNHHS	14.24
Bolton Clarke	11.57
Infinite Care	10.71
Healthe Care	8.63

Property data

Current valuation	3316.36
Book value	3314.34
Total number of tenants	202.00
Occupancy rate (by income)	94.79
Number of properties	91.00
WALE (by income)	15.10
Capitalisation rate	4.93

*Excludes assets under management

Top ten assets

Assets	Current Valuation	Valuation Date	Cap Rate	Occupancy	WALE* (yrs)
Stars, Herston Quarters, QLD	567	11/22/2024 12:00:00 AM	4.5	99.83	15.09
Peninsula Private Hospital, Langwarrin, VIC	310	8/23/2024 12:00:00 AM	4.63	100	25.13
Mulgrave Private Hospital, Mulgrave, VIC	200	5/1/2024 12:00:00 AM	4.5	100	22.47
Beleura Private Hospital, Mornington, VIC	166	8/23/2024 12:00:00 AM	4.75	100	20.64
Sunshine Private Hospital, Sunshine, VIC	127	5/1/2025 12:00:00 AM	6.13	33.9	3.05

RPAH Medical Centre, Newtown, NSW	117	2/1/2025 12:00:00 AM	6.55	99.09	2.06
Wyvern, Terrey Hills, NSW	108	8/23/2024 12:00:00 AM	5.25	100	29.15
15 Butterfield Herston, QLD	105	2/21/2025 12:00:00 AM	6.5	100	2.2
8 Herbert, St Leonards, NSW	94.3	8/1/2024 12:00:00 AM	6.75	94.3	3.57
Matilda Nepean Private Hospital, NSW	55.1	11/20/2024 12:00:00 AM	5	100	27.48

Contact us

australianunity.com.au/wealth/
australianunitywealth@unitregistry.com.au

Investor Services
T 1300 997 774

Adviser Services
T 1300 997 774

* Excludes assets under development

Market Commentary

Fund Summary

Management continues to execute on the fund strategy, with key highlights for the June 2025 quarter are:

- Successful leasing of 1,340 sqm at Sunshine Private Hospital for 15 years, with the option (for the tenant) to expend this by a further 1,460 sqms in the future.
- Portfolio underpinned by Weighted Average Lease Expiry (WALE) of 14.98 years and occupancy of 94.9%.
- Divestment of a further 3 non-core assets totalling \$11.4 million and have also entered into sale arrangements to divest properties totalling \$132.3 million.
- Successful renewal of debt facility agreement totalling \$325 million.
- Greenstar Portfolio rating completed in July 2025 for first tranche of 21 HPT assets.

On 11 July 2025, the Lease to Sunshine Private Pty Ltd (in Liquidation) was surrendered by the Receiver and Manager, effective the same day. On 18 July 2025, EY retired as Receiver and Manager.

The former hospital operator had two primary uses: Mental Health services located on Level 3, and Surgical services (including overnight beds and operating theatres) located on Level 1.

We are pleased to advise that a new operator, Sunshine Clinic HoldCo Pty Ltd, has entered into a binding lease agreement for a 15-year term commencing 1 September 2025. The lease covers the existing 21 Mental Health beds on Level 3 and a portion of Level 2, which will be repurposed as a day program facility (~1,339.6sqm). The executed lease has improved the occupancy of the property from 25.62% to 33.94%. The lease includes rights to expand into the balance of Level 3 bedrooms, previously used for surgical services, on a staged basis (~1,430.1sqm).

The Trust's rental income is underpinned by high quality tenant covenant and the top 10 tenants are ASX-listed, Government, national and multi-national operators. Given the ongoing media attention on the position of the Healthscope hospital portfolio, we would like to reassure investors that the Trust has no exposure to Healthscope. When a portfolio of 11 Healthscope properties was made available for sale in 2022, our analysis found that acquisition of that portfolio would not be accretive to investor returns or otherwise fit with the Trust's portfolio requirements. The Trust is a long-term owner of hospital and other healthcare assets and continues to invest in critical community infrastructure that serves the healthcare needs of Australians.

Property Valuations

During the June 2025 quarter, the Trust revalued 33 properties, which resulted in:

- a marginal reduction in valuation of 1.59% and the cap rate softened from 5.41% to 5.42%;
- 13 properties were revalued in May 25 which resulted in a net reduction of \$8.2 million (1.7%) compared to the prior quarter's portfolio book value; and
- 20 properties were revalued in June 25, which resulted in a net increase of \$0.5 million (0.10%) compared to the prior quarter's book value.

The primary driver for the reduction in May 2025, was a result of softening cap rates which was evidenced by recent market transactions which was offset by increase in rental income and lease renewals. In June 2025, the primary driver of the increase was as a result of an increased capitalized rental income for the valued properties.

The key 3 largest movements (for both periods) are summarized below:

May 2025

- **Eureka Medical Centre, VIC** – The uplift in value to \$10.5 million (from the previous valuation of \$9.3 million) was primarily a result of a lease extension which improved the Weighted Average Lease Expiry (WALE) from 1 years to 5 years.
- **Corio Medical Clinic, Corio, VIC** – The reduction in value to \$8.2 million (from the previous valuation of \$9.14 million) is primarily a result of the softening of the capitalisation rate and lower \$/sqm leasing rates for adjoining residential houses.
- **9-11, 13 and 15 Old Heidelberg Road, Alphington, VIC** – The decrease in valuation to \$23.05 million (from the previous valuation of \$24.7 million) is primarily the result of a softening of the capitalisation rate from 5.0% to 5.5% (from the prior valuation).

June 2025

- **Southhaven, 11 Queensbury Road, Padstow Heights, NSW** – The uplift in value to \$18.8 million (from the previous valuation of \$18.5 million) is primarily due to rental income increasing and lower capital expenditure allowance following recent works.
- **Casa Mia, 28-36 Alma Road, Padstow, NSW** – The uplift in value to \$8.6 million (from the previous valuation of \$7.9 million) is primarily a result of lower capital expenditure allowance following completion of refurbishment works, as well as rental income increasing.
- **Chamberlain Gardens, 53-67 Chamberlain Road, Wyoming, NSW** – The uplift in value to \$28 million (from the previous valuation of \$27.7 million) is primarily due to rental income increasing.

Capital Management

On 3 June 2025 the Trust successfully completed the refinancing for a new \$325 million syndicated debt facility, following strong support and engagement from existing financiers.

Following this refinancing activity, the Trust has committed debt facilities of \$1.575 billion, with the weighted average duration of the Trust's debt facilities extending from 2.2 years to 2.92 years, as at 3 June 2025. Consistent with our prudent capital management, the Trust will continue to look to proactively lengthen its debt maturities.

As at 30 June 2025, 67.82% of the Trusts net debt was hedged and we continue to monitor and prudently action hedging initiatives.

Australian Unity's investment

Australian Unity and its subsidiaries (corporate entities only) currently owns 8.2%^ (\$156.9 million) of the Trust, which solidifies its alignment with other investors in the Trust. Australian Unity is pleased to co-invest with investors to execute on the long-term strategy of the Trust.

^ Calculated based on % of NAV as at 30 June 2025.

Withdrawal Facility

The Trust had made the following changes to the withdrawal facilities. Since 1 January 2023, HPT has funded \$633.0 million of withdrawal requests from all unitholders. This change has been made in the best interests of all unitholders and will allow us to continue to provide liquidity while supporting the Trust to generate long-term value for all investors.

- Class A Unit Holders: o AUFM reasonably expects that the withdrawal requests for Class A units are likely to exceed the amount of Class A Units' cash reserves held for Class A, and accordingly, withdrawals will be processed on a **quarterly basis**, in line with provisions outlined in the Trust's Product Disclosure Statement. o It is expected that in the short term any withdrawal requests received from this point onward will be considered for processing **during the next quarterly redemption window withdrawal facility** and met from the general cash pool. The quarterly redemption withdrawal requests are met on 28 February, 28 May, 28 August and 28 November each year.
- All Unit Holders: o To support the long-term stability of the Trust and to preserve capital, the amount available through the **quarterly withdrawal facility will reduce to 1.25%** of the net asset value of the relevant class of units on issue. These changes are being introduced to support the Trust's continued stability to generate long-term value for all investors while maintaining our commitment to providing liquidity to unitholders.

Capital Transactions

Divestment

In the June 2025 quarter, the Trust successfully completed three divestments, totaling \$11.4 million, demonstrating continued progress towards its strategic initiative to reduce the Trust's gearing:

- **19 Buttercup Close, Meadowbrook QLD** – On 10 April 2025, the Trust completed the sale of 19 Buttercup Close, Meadowbrook QLD for \$0.70 million (excluding selling costs).
- **22 Buttercup Close, Meadowbrook, QLD** – On 12 May 2025, the Trust completed the sale of 22 Buttercup Close, Meadowbrook, QLD for \$0.72 million (excluding selling costs).
- **1 & 3 Addison Street, Pennington, SA** – On 24 June 2025, the Trust completed the sale of 1 & 3 Addison Street, Pennington, SA for \$10.01 million (excluding selling costs).

Additionally, over the June 2025 quarter the Trust entered into contracts (subject to conditions) for 4 properties, specifically:

- **651 Pacific Highway, Kanwal, NSW and 7 Wiowera Road, Kanwal, NSW** – On 6 March 2025, the Trust exchanged an unconditional contract for the sale of 651 Pacific Highway, Kanwal, NSW and 7 Wiowera Road, Kanwal, NSW for \$2.1m, with settlement scheduled for 5 September 2025.
- **RPAH Medical Centre, NSW** – On 30 May 2025, the Trust executed Put and Call options for the RPAH Medical Centre, NSW and is subject to the satisfaction of one remaining condition.
- **17 Buttercup Close, Meadowbrook, QLD** – On 12 June 2025, the Trust sold at auction 17 Buttercup Close, Meadowbrook, QLD for \$0.621m, with settlement scheduled for 14 July 2025.
- **18 Nestor drive, Meadowbrook, QLD** – On 30 June 2025, Trust exchanged an unconditional contract for the sale of 18 Nestor drive, Meadowbrook, QLD for \$12.5 million, with settlement scheduled for 30 July 2025.

As at 30 June 2025, the Trust has [\$93.0 million] of assets in due diligence.

Developments

During the quarter, the Trust advanced development activities on three projects:

- **Infinite Care Aged Care Facility, 145 Bunjil Way, Knoxfield, VIC** – Construction at 145 Bunjil Way, Knoxfield is progressing well ahead of schedule, with base building structure, services, and external works completed, and internal fit-out advancing steadily with the Tenants FF&E scheduled to be delivered in September 2025. Works are underway for services relocation. On completion, the 177-bed aged care facility will be leased to Infinite Care for 25 years.
- **Beleura Private Hospital, Morningside, VIC** – The \$22.5 million brownfield expansion has had some delays due to redesign requirements, and is now tracking to achieve practical completion in February 2026. The project involves upgrading the existing theatre complex, including reconfigured recovery areas and an enhanced Central Sterile Services Department (CSSD). Theatre works are scheduled for completion by September, with the remainder of the project progressing as planned.

Outlook

In a similar vein to the March 2025 quarter, Management continues to remain focused on improving the Trust's Balance Sheet through a number of capital management initiatives (predominantly the divestment of non-core assets), with the goal of returning the Trust back to the top of its target gearing range towards mid- FY26.

Despite some persistent volatility over the quarter (as a result of significant global events), we remain cautiously optimistic that the Australian property market will continue to show signs of the recovery (seen through late FY25). Over the quarter, total transaction volume (across most real-estate asset classes) continued to increase and we expect that additional of demographic and structural tailwinds will further support valuations for Australian health care real-estate.

Market Commentary

Continuing with the themes from the first half of CY2025, significant global events such as escalating conflict across the Middle East as well as tariff [and energy] tensions continued to dominate markets globally.

As a result, central banks have recently taken a more hawkish posture with the US Fed re-affirming a “wait and see” stance for their July-25 meeting, whilst domestically, the RBA controversially held the cash rate (at 3.85%) in their July 2025 policy meeting. Despite this, market participants are still projecting the RBA to cut at least 2 more times this Calander Year.

Domestically over the quarter, inflation reduced to 2.1% in May 2025 (from 2.4% in April 2025), whilst real GDP grew 1.3% YoY and household consumption improved by a moderate 0.4% (predominantly due to stronger expenditure on food and electricity). Private investment also increased, growing 0.7% over the quarter with residential housing markets (particularly across major cities) showing signs of a pricing rebound.

Looking forward, as we move into second half of CY2025, commercial property markets continue to show signs of improvement with transactions volumes increasing across most asset classes. Over the first half of CY2025, total transaction volumes increased 13.0% YoY (\$15.5 billion), due largely to domestic inflationary trends and increased offshore investment. Industrial property led the way increasing 98% YoY, with retail up 29% YoY, commercial office up 11% YoY.

The outlook Healthcare property performance also improved over the quarter, as seen in the March 2025 MSCI Total Return index, Healthcare property (on a total return basis) trended back into positive territory, in line with other commercial real estate asset classes.

From the operators perspective, the private hospital sector continues to play a pivotal role in the Australian healthcare landscape, accounting for over 40% of hospital admissions and a substantial 70% of all elective surgeries. This level of contribution underscores its centrality not only to the system’s financial sustainability but also to the effective functioning of national hospital services.

Private health insurance uptake with hospital cover has shown modest growth, rising from 45.1% in June 2018 to 45.3% by the end of March 2025. While incremental, this uptick reflects ongoing consumer reliance on private health options to supplement public services. The impact of the COVID-19 pandemic served to reinforce and hasten a broader international trend: a marked shift toward shorter hospital stays. This transition has been enabled by technological advancements in surgery, along with greater adoption of Telehealth and sophisticated remote monitoring. These innovations are reshaping the patient experience and hospital resource allocation.

It's important to delineate the scope of care between facility types. Day and short-stay hospitals are increasingly suitable for sub-acute procedures, offering efficiency and faster recovery times. However, acute interventions—particularly cardiac and neurological operations—remain the domain of long-stay hospitals due to their complexity and associated risks.

According to Queensland's hospital rescue plan, one of the solutions to reduce waitlist is to utilise private sector capacity to deliver planned elective surgery within private hospitals.

Notes

1. Valuation Policy – Regular valuation of underlying property assets is an important aspect of managing the Fund. Valuations are conducted by qualified independent valuers in accordance with industry standards. We also have a policy of generally obtaining independent valuations on Fund direct properties each year and, for assets under development, within an 18-month period. Additionally, as part of our active management approach, we may test asset values on market. At times we may enter arrangements at arm's length with third parties which may impact the value of assets within the portfolio including, but not limited to, put and call options in respect of all Healthcare Property Trust – Wholesale Units Page 9 or part of an asset within the portfolio. If the value of an asset is impacted in this way, the value may replace the last independent valuation obtained.
2. Weighted Average Lease Expiry (WALE) by base rental income. Vacancies are valued at market income. Assets under development excluded.
3. A market capitalisation rate is the rate, expressed as a percentage, that reflects the likely yield a property will generate over the medium term. It has regard to a property's unique characteristics and is a measure of the property's risk/return profile with higher rates reflecting higher risk and its function is to convert a property's income into value. The market capitalisation rate is assessed by the independent valuer by dividing the stabilised net property income of the property or a portfolio of properties by the assessed valuation of the property or portfolio, excluding costs of acquisitions and fees.
4. Occupancy and WALE previously excluded vacant space formally allocated to Unitas Healthcare Pty Ltd. If included in 31 March 2025 calculation, the WALE would have been 2.12

Important Information

Units in the Australian Unity Healthcare Property Trust – Class A, Australian Unity Healthcare Property Trust – Retail, and Australian Unity Healthcare Property Trust – Wholesale Units are issued by Australian Unity Funds Management Limited ABN 60 071 497 115, AFS Licence No. 234454. The information in this document is general information only and is not based on the objectives, financial situation or needs of any particular investor. In deciding whether to acquire, hold or dispose of the product, investors should obtain the current Product Disclosure Statement (PDS) and Target Market Determination (TMD) to consider whether the product is appropriate for them. A copy of the PDS and TMD are available at australianunity.com.au/wealth or by calling our Investor Services at 1300 997 774. Investment decisions should not be made upon the basis of its past performance or distribution rate, or any ratings given by a ratings agency, since each of these can vary. In addition, ratings need to be understood in the context of the full report issued by the ratings agency itself. The information in the document is current at the time of publication only.